

worldwide producer of automotive parts and is in some of the same electronics markets. Furthermore, TRW could become the major supplier of airbags for cars. But if Ford buys Merrill Lynch or Lockheed (both were rumored), will it join the long list of diworseifiers?

THE DEBT FACTOR

How much does the company owe, and how much does it own? Debt versus equity. It's just the kind of thing a loan officer would want to know about you in deciding if you are a good credit risk.

A normal corporate balance sheet has two sides. On the left side are the assets (inventories, receivables, plant and equipment, etc.). The right side shows how the assets are financed. One quick way to determine the financial strength of a company is to compare the equity to the debt on the right side of the balance sheet.

This debt-to-equity ratio is easy to determine. Looking at Ford's balance sheet from the 1987 annual report, you see that the total stockholder's equity is \$18.492 billion. A few lines above that, you see that the long-term debt is \$1.7 billion. (There's also short-term debt, but in these thumbnail evaluations I ignore that, as I've said. If there's enough cash—see line 2—to cover short-term debt, then you don't have to worry about short-term debt.)

A normal corporate balance sheet has 75 percent equity and 25 percent debt. Ford's equity-to-debt ratio is a whopping \$18 billion to \$1.7 billion, or 91 percent equity and less than 10 percent debt. That's a very strong balance sheet. An even stronger balance sheet might have 1 percent debt and 99 percent equity. A weak balance sheet, on the other hand, might have 80 percent debt and 20 percent equity.

Among turnarounds and troubled companies, I pay special attention to the debt factor. More than anything else, it's debt that determines which companies will survive and which will go bankrupt in a crisis. Young companies with heavy debts are always at risk.

Once I was looking at two depressed stocks in technology: GCA and Applied Materials. Both manufactured electronic capital equipment—machines to make computer chips. It's one of those highly technical fields that's best avoided, and these companies had proven it by falling off the ledge. In late 1985, GCA stock fell from \$20 to \$12, and Applied Materials did even worse, falling from \$16 to \$8.

The difference was that when GCA got into trouble, it had \$114 million in debt, and almost all of it was bank debt. I'll explain this further on. It only had \$3 million in cash, and its principal asset was \$73 million of inventories—but in